

Paragraph 56 and Prayer Paragraph 5 Punitive Damages:

A punitive damages prayer requires nonconclusory ultimate facts satisfying Civ. Code § 3294. (*Clauson, supra*, 67 Cal.App.4th at 1255.) Section 3294(c)(3) defines fraud as “intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention . . . of [] depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294(c)(3).) The Cross-Complaint alleges that Plaintiff (1) omitted the \$393,000 Resnick Loan from the Application; (2) signed the Application under a federal criminal penalty acknowledgment certifying truth and completeness; (3) had actual knowledge of the Resnick Loan and Deed of Trust because she signed it before a notary; and (4) previously stated she specifically asked whether the family loan lien appeared on title because she understood she would not be approved if it did. (Cross-Compl. ¶¶ 9, 12, 22, 23, 25.) Those allegations map onto section 3294(c)(3) with sufficient factual specificity.

Plaintiff’s Request for Judicial Notice Exhibits A and B GRANTED.

Defendant Oaktree’s Request for Judicial Notice Exhibits 1 and 2 GRANTED.

Plaintiff’s Motion to Strike GRANTED in PART.

Motion to Strike as to Paragraph 28 GRANTED without leave to amend.

Motion to Strike paragraph 7; the phrase “which as of April 21, 2026, exceed \$755,215.46, which amount increases daily” in paragraphs 45, 54 and paragraph 1 of the Prayer; and paragraph 3 of the Prayer GRANTED with leave to amend. Defendant Oaktree to file an amended Cross-Complaint within 15 days.

Motion to Strike paragraphs 25, 27, 49, 51, 56 and paragraph 5 of the Prayer DENIED.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	HEARING RE: DEMURRER ON CROSS-COMPLAINT OF OAKTREE FUNDING CORPORATION AS TO CAUSE(S) OF ACTION AND MOTION TO STRIKE CAUSES OF ACTION NEGLIGENT MISREPRESENTATION FRAUD / CONCEALMENT

Tentative Ruling: Before filing a demurrer or motion to strike, the moving party must meet and confer in person, by telephone, or by videoconference with the opposing party for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised. (CCP §§ 430.41(a), 435.5(a), 2016.040(a).)

Here, Plaintiff’s meet and confer declarations state only that she “met and conferred in writing with Oaktree’s counsel” (Little Decl. [Demurrer] ¶ 3), and that on June 16, 2026, she “sent written meet-and-confer correspondence to Oaktree’s counsel.” (Little

Decl. [MTS] ¶ 3.) Neither declaration reflects any meet and confer conducted in person, by telephone, or by videoconference. Thus, Plaintiff did not satisfy the requirements of section 430.41(a) and 435.5(a). However, the court addresses the merits of the motion below.

A demurrer may be taken if a pleading is “uncertain” (meaning “ambiguous and unintelligible”), or if it “does not state facts sufficient to state a cause of action.” (CCP § 430.10(e), (f).) Although a special demurrer for uncertainty is generally “disfavored” (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822), it may be sustained “where the complaint is so bad that defendant cannot reasonably respond—*i.e.*, he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her.” (Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-A at ¶ 7:84 [citing *Khoury v. Maly’s of Cal., Inc.* (1993) 14 Cal.App.4th 612, 616].)

A general demurrer, on the other hand, “test[s] the legal sufficiency of a complaint.” (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) On demurrer, the court must liberally construe the complaint in the plaintiff or cross-complainant’s favor. (CCP § 452.) “This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant.” (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1238.) A demurrer “admit[s] all the properly pleaded material facts” and “even the most improbable alleged facts” are accepted as true. (*Nolte v. Cedars-Sinai Med. Ctr.* (2015) 236 Cal.App.4th 1401, 1406.) However, the court does not “assume the truth of contentions, deductions or conclusions of law.” (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967 [internal citations omitted].)

Negligent Misrepresentation 1st Cause of Action:

The elements of negligent misrepresentation are: “(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.” (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1252.) Because negligent misrepresentation is in the fraud family, it must be pleaded with specificity, including the who, what, when, where, and how of the alleged misrepresentation. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.)

“The tort of negligent misrepresentation requires a positive assertion and does not apply to implied misrepresentations.” (*Stockton Mortgage, Inc. v. Tope* (2014) 233 Cal.App.4th 437, 458–59 [internal quotation omitted]; see also *Lopez v. Nissan N. Am., Inc.* (2011) 201 Cal.App.4th 572, 596 [“A negligent misrepresentation claim ‘requires a positive assertion,’ not merely an omission.”].)

In reviewing a demurrer, the court may “look to exhibits attached to the complaint for operative facts. [Citation.] And because the ‘allegations that [courts] accept as true necessarily include the contents of any exhibits attached to the complaint, . . . in the event of a conflict between the pleading and an exhibit, the facts contained in the exhibit take precedence over and supersede any inconsistent or contrary allegations in the pleading.’” (*Nealy v. Cnty. of Orange* (2020) 54 Cal.App.5th 594, 596–97 [internal quotation omitted].)

Plaintiff demurs to the first cause of action for negligent misrepresentation, arguing that Oaktree fails to plead the essential elements—*i.e.*, misrepresentation (positive assertion), justifiable reliance, causation, and damages.

Misrepresentation/Positive Assertion element:

Oaktree alleges that on or about May 6, 2025, Plaintiff executed and submitted the Application to Oaktree seeking a \$716,580 loan secured by a Deed of Trust against the Property. (Cross-Compl. ¶ 9.) Plaintiff signed the Application directly under an acknowledgment that “it is a federal crime . . . to knowingly make any false statements” and certified that “[t]he information I have provided in this application is true, accurate and complete as of the date I signed this application,” and that “[t]he Lender . . . may rely on the information contained in the application.” (*Id.* at ¶¶ 9, 12, Ex. 1.) Plaintiff further acknowledged that “[a]ny intentional or negligent misrepresentation of information may result in the imposition of . . . civil liability . . . including monetary damages.” (*Id.* at ¶ 12.)

Oaktree alleges that Plaintiff “concealed and failed to disclose” the \$393,000 Resnick Loan, which was secured by the Resnick Deed of Trust recorded against the Property in second priority lien position. (*Id.* at ¶ 13.) Oaktree approved and funded the loan based on the Application, intended and required the Oaktree Deed of Trust to be recorded in second priority lien position, and would not have funded the loan had it known the Oaktree Deed of Trust could not be recorded in second position. (*Id.* at ¶¶ 10–11.) The Resnick Deed of Trust was dated December 6, 2024, and recorded on or about December 19, 2024, approximately five months before Plaintiff submitted the Application. (*Id.* at ¶¶ 20, 22.) Because the Resnick Deed of Trust was recorded before Oaktree’s loan closed, it occupied the second priority lien position Oaktree required, leaving the Oaktree Deed of Trust to record at best in third priority. (*Id.* at ¶ 21.)

Oaktree characterizes Plaintiff’s Application responses in Sections 2c, 4b, 5a, and 5b as “affirmative false statements” concealing the Resnick Loan. Plaintiff contends that the actual language of the Application (attached as Exhibit 1 to the Cross-Complaint) does not encompass the Resnick Loan and that her responses are either literally true or responsive to questions that did not require its disclosure. As discussed above, the actual text of Exhibit 1 governs over Oaktree’s characterization. (*Nealy, supra*, 54 Cal.App.5th at 596–97.) A review of each section shows as follows:

Section 2c expressly states: “List all liabilities below (**except real estate**) and include deferred payments.” (Cross-Compl. ¶ 9, Ex. 1 [emphasis added].) As Plaintiff argues, this language excludes any real estate liabilities, including the Resnick Loan (a \$393,000 obligation secured by a deed of trust on real property), from required disclosure. Thus, Plaintiff’s omission of the Resnick Loan from this section was not a false statement.

Section 4b asks about “Other **New Mortgage Loans** on the Property You are Buying or Refinancing,” within a section titled “Loan and Property Information” whose fine print states, “This section asks about the loan’s purpose and the property you want to **purchase or refinance**.” (*Id.* [emphasis added].) The Resnick Deed of Trust was recorded December 19, 2024, approximately five months before the Application. It was not a “new” mortgage loan being originated in connection with the Oaktree transaction. Thus, Plaintiff’s answer of “Does not apply” is not an affirmative false statement, as the question, by its plain terms, does not encompass a preexisting recorded encumbrance.

Section 5a(E) asks: “Will this property be subject to a lien that could **take priority over the first mortgage lien**, such as a clean energy lien paid through your property taxes (e.g., the Property Assessed Clean Energy Program)?” (*Id.* [emphasis added].) This question concerns super priority liens (such as tax liens or PACE liens), not a competing second position deed of trust. The Resnick Deed of Trust sits *behind* the first mortgage. It does not “take priority over” it. Thus, Plaintiff’s “No” answer is not a false statement.

Section 5b(F) asks: “Are you a **co-signer or guarantor** on any debt or loan that

is not disclosed on this application?” (*Id.*) Plaintiff was the *primary borrower* on the Resnick Loan, as she signed the promissory note and deed of trust as the obligor, not as a co-signer or guarantor for another person’s debt. Thus, Plaintiff’s “No” answer is not a false statement.

Because Plaintiff’s answers were either true or responsive to questions that did not encompass the Resnick Loan, they do not constitute positive assertions of material fact as required for negligent misrepresentation. At most, Oaktree alleges a pure omission, but negligent misrepresentation requires an affirmative statement, not a failure to volunteer information. (*Lazar, supra*, 12 Cal.4th at 645.)

Oaktree’s strongest remaining argument is that Plaintiff certified the Application was “true, accurate, and complete,” and that this certification itself constitutes a positive assertion of completeness. (Cross-Compl. ¶ 9, Ex. 1.) However, a certification that “this application is complete” does not transform an omission into a positive assertion where the form’s own instructions did not call for the information. Thus, the positive assertion element of negligent misrepresentation is not satisfied.

Because the first element is not met, the Court does not address the remaining elements of justifiable reliance, causation, and damages, as they are not sufficient to sustain the demurrer.

Fraud 2nd Cause of Action:

The elements of fraud are: “(1) a misrepresentation (false representation, concealment, or nondisclosure), (2) scienter or knowledge of its falsity, (3) intent to induce reliance, (4) justifiable reliance, and (5) resulting damage.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 638.) Fraud must be pleaded with specificity, including how, when, where, to whom, and by what means the representations were tendered. (*Id.* at 645.)

Plaintiff demurs to the second cause of action for fraud, arguing that Oaktree fails to plead the essential elements—*i.e.*, false representation, either through an affirmative false statement or through intentional concealment, justifiable reliance, causation, and damages.

Affirmative Misrepresentation:

To the extent Oaktree’s fraud claim rests on affirmative false answers in the written Application, the “exhibit controls” doctrine analysis is dispositive. As discussed in connection with the first cause of action, a review of the actual Application language in Exhibit 1 demonstrates that none of the four cited sections required disclosure of the Resnick Loan:

- Section 2c expressly excludes real estate liabilities;
- Section 4b asks only about new mortgage loans originated in connection with the current transaction;
- Section 5a(E) concerns liens that would take priority over the first mortgage (super priority liens), not competing junior liens; and
- Section 5b(F) concerns co-signer or guarantor status, not a borrower’s own direct obligations.

(Cross-Compl. ¶ 9, Ex. 1; *Nealy, supra*, 54 Cal.App.5th at 596–97.) Because Plaintiff’s answers were either true or responsive to questions that did not encompass the Resnick Loan, they do not constitute affirmative false representations with the particularity required by fraud pleading standards. (*Lazar, supra*, 12 Cal.4th at 645.)

Concealment:

To the extent Oaktree's claim rests on suppression or concealment, a threshold duty to disclose is essential. A concealment claim is distinct from an affirmative misrepresentation claim and requires a threshold duty to disclose. (*Blickman Turkus v. MF Downtown Sunnyvale* (2008) 162 Cal.App.4th 858, 868.) A duty to disclose may arise where: (1) the defendant has **exclusive knowledge** of material facts not known to the plaintiff; (2) the defendant **actively conceals** a material fact; or (3) the defendant makes **partial representations** that are misleading without the omitted fact. (*Id.*) Each duty theory must be independently supported by facts. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Exclusive knowledge exists only where the fact is "known or accessible only" to the defendant and not within the reach of the plaintiff's diligent attention and observation. (*Lingsch v. Savage* (1963) 213 Cal.App.2d 729, 735.) Each theory of duty is discussed below:

Exclusive Knowledge:

The Resnick Deed of Trust was recorded on December 19, 2024, months before the May 2025 Application. (Oaktree's RJN, Ex. 2.) Recordation gives constructive notice under Civ. Code §§ 1213 and 1215. On the facts currently alleged, the recorded encumbrance substantially undercuts the theory that the Resnick Loan was "known or accessible only" to Plaintiff. (*Lingsch, supra*, 213 Cal.App.2d at 735.)

Active Concealment:

The pleaded conduct is omission—i.e., not listing the Resnick Loan in the Application and not disclosing it during the loan process. (Cross-Compl. ¶¶ 13, 26.) Those are nondisclosures, not affirmative acts of hiding. Active concealment requires affirmative acts of hiding, not mere omission. (*Lingsch, supra*, 213 Cal.App.2d at 734.) Relabeling omission as "active concealment" is insufficient without additional specific allegations of affirmative conduct designed to prevent discovery.

Partial Disclosure:

This theory depends entirely on whether the specific Application sections actually required disclosure of the Resnick obligation. If a section did not call for that information, omission does not create a misleading partial disclosure. As discussed above, Section 2c excludes real estate liabilities, Section 4b asks only about "new" mortgage loans, Section 5a(E) concerns super priority liens, and Section 5b(F) concerns co-signer or guarantor status. (Cross-Compl. ¶ 9, Ex. 1.) On the present face of the record, Plaintiff's answers do not constitute partial representations that were misleading without disclosure of the Resnick Loan.

Because neither the affirmative misrepresentation nor any concealment duty theory is adequately pleaded, the first element of fraud is not met. The Court does not address the remaining elements of scienter, reliance, causation, or damages, as they are not sufficient to sustain the demurrer.

Special Demurrer for Uncertainty:

Plaintiff demurs to the entire Cross-Complaint on the ground of uncertainty under CCP § 430.10(f). Because the demurrer to the first and second causes of action is sustained under section 430.10(e), the Court need not separately address the special demurrer for uncertainty under section 430.10(f). In any event, the Cross-Complaint is not

“so incomprehensible that a defendant cannot reasonably respond” (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [internal quotation omitted]), as demonstrated by Plaintiff’s detailed review of each section.

Plaintiff’s Request for Judicial Notice Exhibits A-C GRANTED.

Plaintiff’s General Demurrer to Defendant Oaktree’s Cross-Complaint SUSTAINED as to the 1st and 2nd Causes of Action, with leave to amend. Defendant Oaktree to file an amended Cross-Complaint within 15 days.

Plaintiff’s Special Demurrer to Defendant Oaktree’s Cross-Complaint for uncertainty is MOOT.

7.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	HEARING RE: MOTION FOR PROTECTIVE ORDER

Tentative Ruling:

Defendants Rocket Close, LLC and Rocket Companies, Inc. Motion for Protective Order is GRANTED.

Plaintiff is limited 35 Requests for Admission, specifically those identified as “Set Four-Request Nos. 1-35”. Dated 7.16.26

Plaintiff is limited to 35 Special Interrogatories, specifically those identified as “Set Five-Special Interrogatory Nos. 1-35”. Dated 7.16.26.

Next court date are the demurrers and motions to strike as to the Third Amended Complaint by Defendants Oaktree and Rocket Companies, to be heard together on 9.15.26.